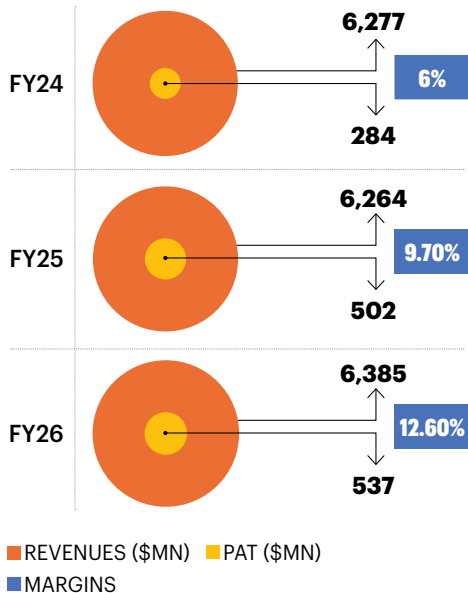


IN NUMBERS

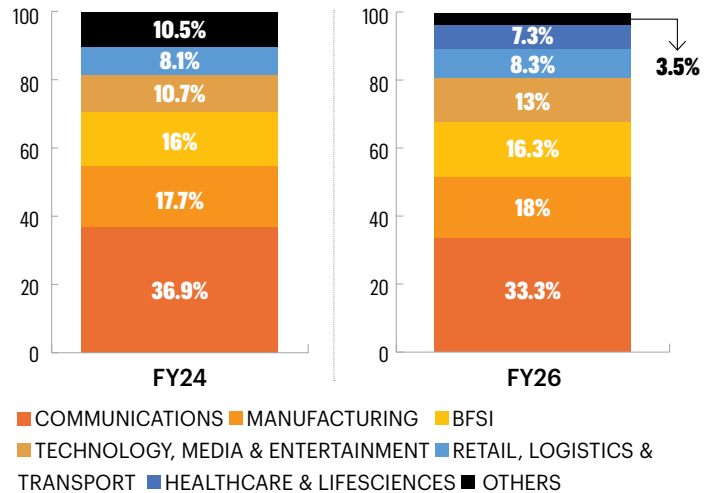
• Revenues and margins have increased since the turnaround plan was announced



SOURCE TECH MAHINDRA RESULTS FILINGS

REVENUE SPLIT ACROSS INDUSTRIES

• While telecom remains the biggest contributor to revenues, the other segments are inching up



* IN FY24 COMMUNICATIONS, MEDIA AND ENTERTAINMENT WERE CATEGORISED TOGETHER

SOURCE TECH MAHINDRA QUARTERLY FILINGS

“The key achievement so far is that the company has moved from stabilisation to execution, with investors and clients seeing measurable progress rather than just a restructuring narrative,” says Biswajeet Mahapatra, Principal Analyst, Forrester. “Revenue growth has gradually recovered, margins have expanded consistently, deal momentum has strengthened, and management has become more focused on key accounts, portfolio rationalisation and AI-led services.”

THE FOCUS AREAS

This was done through a combination of factors, starting with three focus areas—growth, operations and organisation—and then drilling down further into areas of improvement under each. Alongside, the company reset its talent strategy, created a roadmap for further leveraging synergies with the parent entity, the Mahindra Group, and developed a focused vertical and customer strategy.

“The results of the first quarter of this fiscal reflect the turnaround and stabilisation achieved through the investments we made to fuel the right kind of growth and build

an operational mindset within the organisation,” says Atul Soneja, chief operating officer, Tech Mahindra.

Along with using technology to drive productivity and optimise costs, the company also improved its employee utilisation rates and reassessed its pricing models. Perhaps most importantly, it decided not to pursue deals that did not make economic sense, putting guardrails in place to ensure that project failures did not cost the company. “This last aspect is critical from a long-term sustainability view as well, ensuring that the strategy was not about being the cheapest to win the deals,” says Soneja.

The company’s performance for Q1 FY27, which marks the start of the stabilisation, or final phase, of this three-year programme, is more significant than it seems at first glance. In addition to showing a tangible improvement over its performance in the previous quarter, the company decisively outperformed its peers. Consider this: for the same quarter, market leaders Tata Consultancy Services and Infosys reported quarter-on-quarter revenue growth of 0.4% and 1%,